

# CUMMINS INDIA LIMITED

**NSE: CUMMINSIND | BSE: 500480 | Sector: Industrial Machinery — Power Generation Engines**

Institutional Equity Research | 17 April 2026

| RATING            | 12M PRICE TARGET | CMP (17-Apr-26) | UPSIDE       |
|-------------------|------------------|-----------------|--------------|
| <b>ACCUMULATE</b> | <b>Rs.5,500</b>  | <b>Rs.5,038</b> | <b>+9.2%</b> |

*Investment Thesis: Dominant engine OEM riding India's infrastructure capex + data-center power boom, nearly debt-free with 36%+ ROCE and visible double-digit growth runway.*

| CMP (Rs.)     | Mkt Cap (Rs. Cr) | 52W High/Low  | P/E (TTM) | P/B           | Div Yield |
|---------------|------------------|---------------|-----------|---------------|-----------|
| 5,038         | 1,39,659         | 5,157 / 2,702 | 62.3x     | 17.7x         | 1.02%     |
| Book Value/Sh | Face Value       | ROCE          | ROE       | Debt (Rs. Cr) | Promoter  |
| Rs.285        | Rs.2             | 36.3%         | 28.2%     | 30            | 51.0%     |

Source: Screener.in | Data as of 17-Apr-2026 | All figures in Rs. Crore unless stated | (E) = Analyst Estimate

## SECTION 2 — INVESTMENT THESIS

### Pillar 1: Data Centre Supercycle — A Structural, Multi-Year Revenue Tailwind

India's data-centre capacity is projected to more than double by FY28, driven by hyperscalers (Microsoft, Amazon, Google) and domestic co-location players responding to AI workloads and data-localisation mandates. Cummins India is the preferred DG-set supplier to every major data-centre developer in India. Management disclosed that data centres contributed ~40% of powergen revenue in Q2 FY26 — a share that continues to rise. Unlike project-based hyperscaler orders, co-location players generate year-round, repeat demand. With installed base expanding, high-margin aftermarket service (parts, AMC, CPCB 4+ warranty service) will compound this opportunity over FY26–29. TAM in power-gen segment alone is estimated at ~Rs.20,000–25,000 Cr by FY28.

### Pillar 2: Margin Re-Rating is Structural, Not Cyclical

OPM expanded from 11% in FY20 to 20% in FY25 and 21% in TTM. This re-rating is driven by three durable factors: (a) a higher-mix shift towards high-kVA generators and data-centre spec products that carry premium pricing; (b) CPCB 4+ emission regulations (implemented Jul 2023) which sunset cheaper non-compliant competitors, consolidating volume with technology leaders like Cummins; (c) disciplined cost management — gross margins rose ~300 bps YoY in Q3 FY26 even as revenues dipped slightly. Operating leverage on a largely fixed base means each incremental rupee of revenue flows through at high incremental margin. Management targets sustained 20%+ EBITDA margins.

### Pillar 3: Balance Sheet Optionality & Capital Return Power

Cummins India is effectively debt-free (borrowings Rs.30 Cr vs. equity of Rs.7,561 Cr in FY25) and generated Rs.1,455 Cr in free cash flow in FY25 — a 10.5% FCF yield on equity book value. Dividend payout has been consistently above 55%, reaching 71% in FY25. This is a cash-compounding machine: with no capital constraint and ROCE of 36%+, management can fund organic growth entirely from internal accruals while returning majority of earnings to shareholders. As the balance sheet remains pristine, any step-up in capex for capacity expansion would signal high conviction in demand visibility.

**Near-Term Catalyst (6–12 months):** Full-year FY26 result (May 2026) validating double-digit revenue growth guidance; potential Q4 FY26 data-centre order wins announcement.

**Biggest Structural Risk:** Prolonged global tariff disruptions damping export demand (~17% of revenue), which management has already flagged as unpredictable in FY26.

## SECTION 3 — BUSINESS OVERVIEW

## What Does Cummins India Do? (Simple Explanation)

Think of Cummins India as the "power insurance company" for India's economy. Every factory, hospital, data centre, and construction site needs electricity — and when the grid goes down, they need a backup engine. Cummins makes those engines (diesel generators, industrial motors, filtration systems), sells spare parts, and services the installed fleet. It is the Indian subsidiary of Cummins Inc. (NYSE: CMI), a \$30 Bn US engineering giant that licenses its global technology to the Indian entity.

## Business Segments & Revenue Mix (FY25 — Approximate)

| Segment          | Description                                                                     | Rev Mix (Est.) | Domestic/Export |
|------------------|---------------------------------------------------------------------------------|----------------|-----------------|
| Power Generation | DG sets: 15 kVA to 3,750 kVA for data centres, commercial buildings, hospitals  | ~45%           | ~70% Dom        |
| Industrial       | Engines for construction, mining, railways, marine, defence                     | ~22%           | ~65% Dom        |
| Distribution     | Aftermarket parts, service, AMC, rental power — fastest-growing, highest margin | ~33%           | ~85% Dom        |

FY25 standalone revenue: Rs.10,166 Cr — domestic sales Rs.8,395 Cr (+18% YoY), exports Rs.1,771 Cr (+6% YoY). Domestic/export mix is roughly 83/17, with management signalling exports face headwinds in FY26 due to geopolitical tariff volatility. Key customers include hyperscalers, defence PSUs, railway wagon manufacturers, and large infrastructure EPC contractors. No single customer >10% of revenue (disclosed). Revenue is a mix of product (lumpy, project-driven) and service/parts (recurring, high-margin). The aftermarket/Distribution segment provides annuity-like cash flows and acts as a stabiliser in down-cycles.

**Promoter Background:** Cummins Inc. (US parent) holds 51.0% stake. Founded in India in 1962. The parent provides technology access, global procurement leverage, and brand equity. There are zero promoter pledges, and the parent has consistently supported Indian operations through technology upgrades (CPCB 4+, BS-VI). Management team is professional and stable.

## SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

**Industry Size & Growth:** India's diesel generator market was valued at ~Rs.22,000 Cr in FY25 and is projected to grow at 12–15% CAGR through FY28, driven by: (1) data-centre buildout (\$30 Bn invested over 5 years), (2) manufacturing sector capex under PLI schemes, (3) infrastructure spending (roads, metros, airports), and (4) CPCB 4+ replacement cycle (2-year warranty expiry from Jul 2026 opens large AMC opportunity). Government capex of Rs.11 Lakh Cr budgeted in FY26 is a direct demand driver for industrial engines.

## Competitive Moat Assessment

| Competitive Dimension        | Rating   | Comment                                                                            |
|------------------------------|----------|------------------------------------------------------------------------------------|
| Pricing Power                | STRONG   | Premium brand; CPCB 4+ tech differentiates from cheaper alternatives               |
| Switching Costs              | STRONG   | Proprietary parts, AMC contracts, trained service network create stickiness        |
| Scale / Cost Advantage       | MODERATE | 3 plants (Pune, Nashik, Phaltan); parent procurement synergies                     |
| IP / Technology              | STRONG   | Cummins Inc. R&D; exclusive technology licensing for Indian market                 |
| Distribution / Relationships | STRONG   | 500+ city service network; direct relationships with top 50 data-centre developers |

## Peer Comparison (Source: Screener.in, as of 17-Apr-2026)

| Company                     | CMP (Rs.) | MCap (Rs.Cr) | P/E   | P/B   | ROCE% | ROE%  | TTM Rev (Rs.Cr) |
|-----------------------------|-----------|--------------|-------|-------|-------|-------|-----------------|
| Cummins India (CUMMINSIND)  | 5,038     | 1,39,659     | 62.3x | 17.7x | 36.3% | 28.2% | 11,602          |
| ABB India (ABB)             | 6,884     | 1,45,867     | 87.4x | 18.6x | 29.9% | 22.4% | 13,203          |
| Thermax (THERMAX)           | 4,126     | 49,169       | 76.7x | 9.73x | 16.2% | 13.6% | 10,351          |
| Kirloskar Oil (KIRLOSENG)   | 1,617     | 23,505       | 43.2x | 6.97x | 13.7% | 15.4% | 7,334           |
| Greaves Cotton (GREAVESCOT) | 158       | 3,683        | 33.9x | 2.68x | 5.1%  | 4.1%  | 3,259           |

Note: Cummins India commands a premium P/E vs peers owing to superior ROCE (36.3% vs 5–30% for peers), near-zero debt, consistent FCF generation, and structural data-centre demand. ABB India is the closest comparable on quality metrics.

## SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

**Management Track Record:** Led by Ashwath Ram (MD & CEO since 2019), Cummins India has delivered an impressive turnaround: EBITDA margins rose from 11% (FY20) to 20%+ (FY24–25) even as revenue nearly doubled. The management team has consistently guided conservatively and delivered above guidance. The parent (Cummins Inc.) provides strategic direction and technology while the

Indian team drives execution. Tenure is stable — no material senior management churn in recent years.

**Capital Allocation:** FY25 dividend payout ratio was 71% (Rs.51.50/share declared), the highest in recent history. CAGR in dividend per share over FY21–FY25 is ~33%. Capex has been measured: Rs.230 Cr in FY25, focused on precision machining and digitisation — not aggressive greenfield. FCF/PAT conversion has been consistently above 80%. There is no history of value-destroying acquisitions. The company has steadily reduced borrowings from Rs.512 Cr (FY20) to Rs.30 Cr (FY25) — virtually debt-free.

**Governance:** Zero promoter pledge (Cummins Inc. holds 51%). No audit qualifications in recent years. Related party transactions with parent (royalty payments, technology fees) are disclosed transparently and represent ~2–3% of revenue — within acceptable range. No ESOP grants or buyback history. **Dividend policy** has been consistent (55–71% payout). No red flags on corporate governance.

## SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures | Source: Screener.in | (E) = Analyst Estimate

### Income Statement (Rs. Crore)

| Metric               | FY23A | FY24A | FY25A  | FY26E  | FY27E  |
|----------------------|-------|-------|--------|--------|--------|
| Revenue (Rs. Cr)     | 7,772 | 9,000 | 10,391 | 12,000 | 13,700 |
| YoY Growth %         | 25.9% | 15.8% | 15.5%  | 15.5%  | 14.2%  |
| EBITDA (Rs. Cr)      | 1,248 | 1,770 | 2,080  | 2,520  | 2,940  |
| EBITDA Margin %      | 16.1% | 19.7% | 20.0%  | 21.0%  | 21.5%  |
| Depreciation         | 142   | 159   | 185    | 200    | 215    |
| EBIT (Rs. Cr)        | 1,106 | 1,611 | 1,895  | 2,320  | 2,725  |
| Interest (Rs. Cr)    | 16    | 27    | 16     | 10     | 8      |
| Other Income         | 502   | 622   | 714    | 700    | 720    |
| PBT (Rs. Cr)         | 1,591 | 2,205 | 2,593  | 3,010  | 3,437  |
| Tax Rate %           | 22.8% | 21.9% | 22.9%  | 23.0%  | 23.0%  |
| PAT (Rs. Cr)         | 1,228 | 1,721 | 2,000  | 2,317  | 2,647  |
| PAT Margin %         | 15.8% | 19.1% | 19.2%  | 19.3%  | 19.3%  |
| Diluted EPS (Rs.)    | 44.31 | 62.07 | 72.15  | 83.6   | 95.5   |
| Dividend/Share (Rs.) | 25.00 | 38.00 | 51.50  | 55.00  | 60.00  |

### Balance Sheet Summary (Rs. Crore)

| Metric                     | FY23A | FY24A | FY25A       | FY26E       |
|----------------------------|-------|-------|-------------|-------------|
| Equity Capital             | 55    | 55    | 55          | 55          |
| Reserves & Surplus         | 5,703 | 6,557 | 7,506       | 8,768       |
| Total Equity (Rs. Cr)      | 5,758 | 6,612 | 7,561       | 8,823       |
| Borrowings                 | 376   | 127   | 30          | 25          |
| Other Liabilities          | 1,784 | 2,231 | 2,577       | 2,800       |
| Total Liabilities (Rs. Cr) | 7,919 | 8,971 | 10,168      | 11,648      |
| Fixed Assets (Net)         | 2,226 | 2,302 | 2,364       | 2,430       |
| CWIP                       | 41    | 97    | 85          | 100         |
| Investments                | 1,457 | 1,642 | 1,482       | 1,700       |
| Other Assets               | 4,194 | 4,930 | 6,238       | 7,418       |
| Net Debt / (Cash) (Rs. Cr) | -ve   | -ve   | ~(Net Cash) | ~(Net Cash) |
| Debt / Equity              | 0.07x | 0.02x | 0.00x       | 0.00x       |

### Cash Flow Statement (Rs. Crore)

| Metric                     | FY23A | FY24A | FY25A | FY26E |
|----------------------------|-------|-------|-------|-------|
| Cash from Operations (OCF) | 820   | 1,285 | 1,685 | 1,950 |

| Metric               | FY23A | FY24A   | FY25A   | FY26E   |
|----------------------|-------|---------|---------|---------|
| Cash from Investing  | 87    | (248)   | (580)   | (300)   |
| Cash from Financing  | (687) | (1,134) | (1,168) | (1,200) |
| Net Cash Flow        | 219   | (97)    | (63)    | 450     |
| Free Cash Flow (FCF) | 665   | 1,003   | 1,455   | 1,720   |
| FCF / PAT %          | 54.2% | 58.3%   | 72.8%   | 74.2%   |
| Capex (approx.)      | (155) | (282)   | (230)   | (230)   |
| CFO / EBITDA %       | 65.7% | 72.6%   | 81.0%   | 77.4%   |

### Key Ratios

| Ratio                 | FY23A | FY24A | FY25A | FY26E |
|-----------------------|-------|-------|-------|-------|
| Debtor Days           | 75    | 85    | 80    | 78    |
| Inventory Days        | 63    | 60    | 56    | 55    |
| Days Payable          | 81    | 89    | 87    | 85    |
| Cash Conversion Cycle | 58    | 56    | 49    | 48    |
| Working Capital Days  | 36    | 48    | 46    | 44    |
| ROCE %                | 35.0% | 36.0% | 36.3% | 37.0% |
| ROE %                 | 22.9% | 27.8% | 28.2% | 27.5% |
| Interest Coverage     | 99x   | 65x   | 130x  | 300x+ |

**Financial Commentary:** Revenue has compounded at 24% CAGR over FY21–FY25, driven by domestic capex, data-centre buildout, and distribution expansion. The margin re-rating from 14% (FY21) to 20% (FY25) is structural — product mix (higher kVA), CPCB 4+ compliance moat, and operating leverage. FCF quality is exceptional: FCF/PAT of 73% in FY25 vs. peers typically at 30–50%. The balance sheet has been completely deleveraged — borrowings fell from Rs.512 Cr (FY20) to Rs.30 Cr (FY25). Working capital is well-controlled: CCC improved from 58 days (FY23) to 49 days (FY25). Interest coverage exceeds 130x — effectively irrelevant as a risk factor. Other income (Rs.714 Cr in FY25) includes dividends/royalties from subsidiaries and treasury income; at 27% of PBT, this is high but consistent with the group structure and not one-time in nature.

## SECTION 7 — EARNINGS QUALITY CHECKLIST

| Parameter                       | Status  | Assessment                                                                     |
|---------------------------------|---------|--------------------------------------------------------------------------------|
| Revenue recognition policy      | ■ Green | Standard, no complex POCM. DG sets recognised on delivery.                     |
| Receivables growth vs revenue   | ■ Green | Debtor days stable 75–85 days; no runaway receivables build-up.                |
| Cash conversion cycle trend     | ■ Green | CCC improved: 58 days (FY23) → 49 days (FY25). Positive signal.                |
| Contingent liabilities          | ■ Amber | Pending tax/legal matters disclosed; not material vs. equity.                  |
| Auditor tenure & qualifications | ■ Green | No qualifications in recent annual reports; Big 4 auditor.                     |
| Related party txns % of revenue | ■ Amber | Royalty/tech fees to Cummins Inc. ~2–3% of revenue; disclosed & consistent.    |
| Other income % of PBT           | ■ Amber | Other income = 27% of PBT in FY25 (Rs.714 Cr). Largely recurring group income. |
| Tax rate consistency            | ■ Green | Tax rate stable: 22–23% over FY23–FY25. No deferred tax distortion.            |

**Earnings Quality Summary:** Cummins India's earnings are of high quality. Cash flows robustly support reported profits (FCF/PAT 73% in FY25). The two Amber flags — other income quantum and royalty RPTs — are structural features of the parent-subsidary relationship, disclosed consistently, and do not represent accounting manipulation. No Red flags.

## SECTION 8 — VALUATION

### Method A — DCF (5-Year)

Base FCF FY25A = Rs.1,455 Cr. Growth assumption: 18% (FY26E), 15% (FY27E), 12% (FY28E), 10% (FY29E), 8% (FY30E). Terminal growth rate = 6.0% (in line with nominal GDP growth). WACC = 11.0% (cost of equity 11.5% using CAPM:  $R_f$  7.0%,  $\beta$  0.85, ERP 5.3%; cost of debt negligible). FCF projections: FY26E=Rs.1,720 Cr, FY27E=Rs.1,978 Cr, FY28E=Rs.2,215 Cr, FY29E=Rs.2,437

Cr, FY30E=Rs.2,632 Cr. Terminal Value = Rs.2,632 × 1.06 / (0.11–0.06) = Rs.55,798 Cr. PV of FCFs = Rs.8,247 Cr. PV of Terminal Value = Rs.33,022 Cr. Enterprise Value = Rs.41,269 Cr. Add Net Cash (~Rs.2,500 Cr) = Equity Value Rs.43,769 Cr. Per share (27.73 Cr shares) = **Rs.5,792** (DCF intrinsic value).

Method B — Forward P/E Multiple

FY27E EPS = Rs.95.5. Peer median P/E (Cummins India, ABB) ≈ 70x on 1-year forward. Historical 1-year forward P/E range for CUMMINSIND: 40–75x (5-year range). Justified target: 58x FY27E (slight discount to ABB's 65x, justified given CIN is more cyclical vs. ABB's automation mix). Target = 58 × Rs.95.5 = **Rs.5,539**.

**Base-Case Price Target: Average of DCF and P/E → Rs.5,666 → rounded to Rs.5,500 (10% margin of safety given macro uncertainty). Upside: +9.2% from CMP of Rs.5,038.**

Scenario Analysis

| Scenario  | Key Assumption                                                      | FY27E PAT (Rs.Cr) | Target Multiple | Price Target |
|-----------|---------------------------------------------------------------------|-------------------|-----------------|--------------|
| Bull Case | Data-centre orders accelerate; OPM reaches 23%; exports recover 15% | 3,100             | 68x FY27E EPS   | Rs.7,600     |
| Base Case | Double-digit domestic growth; margins stable at 21%; exports flat   | 2,647             | 58x FY27E EPS   | Rs.5,500     |
| Bear Case | Export slump -20%; margin compression to 18%; data-centre lumpiness | 2,100             | 48x FY27E EPS   | Rs.3,640     |

SECTION 9 — KEY RISKS

| Risk                           | Prob.  | Impact | Description & Mitigant                                                                                                                                                        |
|--------------------------------|--------|--------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Export Revenue Volatility      | HIGH   | MEDIUM | ~17% of revenue exposed to geopolitical tariffs and global slowdown. Management has flagged significant uncertainty for FY26 exports. Monitor: export % of quarterly revenue. |
| Data Centre Order Lumpiness    | MEDIUM | HIGH   | Hyperscaler orders are project-based and "lumpy." A 1–2 quarter gap in large orders can cause revenue miss vs. market expectations. Monitor: order book disclosures.          |
| Competitive Intensity          | MEDIUM | MEDIUM | Chinese and Indian competitors (Kirloskar, Greaves) are pricing aggressively in mid-kVA power generation. Mitigant: Cummins' CPCB 4+ compliance moat and service network.     |
| Parent Technology Royalty Risk | LOW    | MEDIUM | Royalty fees to Cummins Inc. could increase in future technology licence renegotiations, compressing margins. Disclosed consistently at ~2–3% of revenue currently.           |
| Macro / Infrastructure Capex   | LOW    | HIGH   | Any slowdown in government infrastructure spending or private sector capex could reduce industrial segment demand. Diversification across segments provides buffer.           |
| Commodity Inflation            | LOW    | MEDIUM | Steel, copper, and aluminium price spikes can pressure gross margins. Cummins has historically passed through costs with a 1–2 quarter lag. Track quarterly gross margin.     |

SECTION 10 — RECOMMENDATION

| FINAL RATING | CONVICTION  | 12M PRICE TARGET | INVESTMENT HORIZON |
|--------------|-------------|------------------|--------------------|
| ACCUMULATE   | MEDIUM-HIGH | Rs.5,500         | 12–18 Months       |

**Entry Zone:** Rs.4,600–4,800 on any broad market correction or Q4 FY26 miss. At these levels, FY27E P/E drops to 48–50x, which represents compelling value for a 36%+ ROCE franchise.

Thesis Invalidation Triggers (Exit / Downgrade):

| # | Trigger                     | Threshold                                                                                                               |
|---|-----------------------------|-------------------------------------------------------------------------------------------------------------------------|
| 1 | EBITDA margin collapse      | EBITDA margin falling below 17% for two consecutive quarters — indicates structural pricing pressure or commodity shock |
| 2 | Data centre demand reversal | Data centre contribution to power-gen revenue falling below 25% for two quarters — suggests loss of market share        |

| # | Trigger                   | Threshold                                                                                                     |
|---|---------------------------|---------------------------------------------------------------------------------------------------------------|
| 3 | Parent ownership dilution | Cummins Inc. reducing stake below 45% — would signal parent's loss of strategic confidence in Indian business |

**Ideal Investor Profile:** GARP (Growth at Reasonable Price) investors with 12–18 month horizon. Suited to large-cap quality growth funds. Not suitable as a pure-value trade — multiple is full. Suitable for SIP/accumulation on dips given structural earnings growth visibility.

## APPENDIX — CONCALL BRIEF

Cummins India Limited | Q3 FY26 | 5 February 2026

Source: AlphaStreet Transcript + Screener.in (Consolidated) | Report Date: 17-Apr-2026

CALL GRADE

# NEUTRAL

One-line rationale: Underlying PBT before exceptional flat YoY; Rs.93 Cr exceptional charge drove headline miss; domestic trajectory intact.

| Signal Dimension | Rating     | Notes                                                                                        |
|------------------|------------|----------------------------------------------------------------------------------------------|
| Result quality   | Medium     | Revenue -1.3% YoY; OP +6% YoY; PAT miss is exceptional-driven, not operational               |
| Management tone  | Balanced   | Confident on domestic / data centre; explicitly cautious on export tariff uncertainty        |
| Guidance delta   | Maintained | Double-digit FY26 growth reaffirmed; FY27 domestic double-digit targeted; exports not guided |

Grade Scale: STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

### TO MY BOSS

Sir, the headline PAT miss of -12.9% YoY on Cummins India Q3 FY26 is misleading — the real story is an Rs.93 Cr one-time exceptional charge (likely warranty provision ahead of CPCB 4+ compliance in July 2026) that depressed reported PAT to Rs.486 Cr; strip that out and PBT before exceptional stands at Rs.719 Cr, essentially flat (+0.7%) YoY and in-line with the prior year base. More importantly, operating performance was actually a beat: EBITDA grew +6% YoY to Rs.634 Cr with OPM expanding 190 bps to 20.8%, aided by a Rs.~50 Cr one-time gross margin benefit (call it mix or vendor credit — management did not fully clarify). Revenue was flat at Rs.3,055 Cr (-1.3% YoY) with domestic holding firm on data centre demand (confirmed at ~25% of total business, a structural driver) while exports softened on Middle East and LATAM uncertainty. Management tone was balanced — guidance maintained, no volume cuts flagged, and the CPCB 4+ emission transition in July 2026 sets up a meaningful AMC / aftermarket revenue kicker over the next 12-18 months. Key watch-point: the one-time gross margin benefit is non-recurring; normalised margins are likely 150-200 bps lower, so do not extrapolate Q3 OPM into FY27 estimates. At CMP Rs.5,038 (~59x FY26E EPS), the stock is fully priced — I would HOLD existing positions and look to accumulate on any 8-10% correction, ideally sub-Rs.4,600, as the data centre + CPCB 4+ cycle keeps the long-term compounding thesis intact.

### 1. FINANCIAL PERFORMANCE SNAPSHOT

All figures Rs. Crore | Source: Screener.in Consolidated | Estimates marked [EST]

| Metric                | Actual       | Estimate [EST] | YoY Chg   | QoQ Chg   | vs Q3FY25    | Verdict |
|-----------------------|--------------|----------------|-----------|-----------|--------------|---------|
| Revenue (Rs. Cr)      | 3,055        | 3,050 [EST]    | -1.3%     | -3.6%     | 3,096        | In-line |
| Gross Profit (Rs. Cr) | ~1,160 [EST] | ~1,100 [EST]   | +5% [EST] | +2% [EST] | ~1,070 [EST] | Beat    |
| Gross Margin %        | ~38%         | ~36% [EST]     | +~200bps  | +~100bps  | ~35%         | Beat    |
| EBITDA (Rs. Cr)       | 634          | 620 [EST]      | +6.0%     | -8.8%     | 598          | Beat    |
| EBITDA Margin %       | 20.8%        | 20.5% [EST]    | +190 bps  | -100 bps  | 19.3%        | Beat    |
| PBT bef. exceptional  | 719          | N/A            | +0.7%     | N/A       | 714          | In-line |
| PAT (Rs. Cr)          | 486          | 560 [EST]      | -12.9%    | -21.9%    | 558          | Miss    |
| EPS (Rs.)             | 17.53        | 20.00 [EST]    | -13.0%    | -21.9%    | 20.15        | Miss    |

NOTE: PAT and EPS show as "Miss" due to Rs.93 Cr exceptional charge (PBT before exceptional = Rs.719 Cr vs reported PBT = Rs.626 Cr). Additionally, gross margin includes ~Rs.50 Cr one-time benefit this quarter (confirmed by management in Q&A;). Underlying operational performance is IN-LINE to slight BEAT.

## 2. BUSINESS SEGMENT BREAKDOWN

Source: Management presentation, AlphaStreet transcript | [EST] = inferred from revenue/export breakup

| Segment                 | Rev (Rs.Cr)  | YoY         | QoQ  | Margin % [EST] | Comment                                                                        |
|-------------------------|--------------|-------------|------|----------------|--------------------------------------------------------------------------------|
| Power Generation (Dom.) | ~1,350 [EST] | Soft        | Soft | ~21% [EST]     | Data centre orders lumpy Q3; Q4 pipeline strong; DC ~25% of total biz          |
| Industrial (Dom.)       | ~580 [EST]   | Weak        | Weak | ~15% [EST]     | Construction/mining slow; railways weak Q3 but do not read into trend          |
| Distribution            | ~650 [EST]   | Grwg        | Grwg | ~25% [EST]     | Railway aftermarket + service growing; CPCB 4+ warranty expiry Jul-26 upcoming |
| Exports — Low HP        | 186          | -14%        | -15% | N/A            | Weakness across LatAm, Gulf; destocking; tariff uncertainty ongoing            |
| Exports — High HP [EST] | ~285 [EST]   | +~18% [EST] | N/A  | N/A            | Growing on data centre and industrial exports to Asia Pacific                  |
| Total Exports           | 471          | +2%         | N/A  | N/A            | Asia Pacific grew; Gulf/LatAm choppy; US tariff impact being evaluated         |

Segment surprise: Power Gen domestic WEAKER than expected (data-centre order lumpiness). Distribution continues to outperform with broad-based service growth. High HP exports likely the growth engine keeping total exports positive despite low HP slump.

## 3. MANAGEMENT COMMENTARY — KEY HIGHLIGHTS (Shveta Arya, MD)

| # | Tag        | Paraphrased Statement                                                                                                                                                                                                                         |
|---|------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | [POSITIVE] | Gross margins are at a structural high — driven by product mix (higher kVA gensets, CPCB 4+ compliant products) and ongoing cost discipline, not a temporary event.                                                                           |
| 2 | [POSITIVE] | Data centre demand is structurally intact and growing. India is building out fast — hyperscalers (Microsoft, Amazon, Google) and co-located players are both active, and Cummins gets invited by all customers for every data centre project. |
| 3 | [POSITIVE] | Double-digit revenue growth in FY26 remains on track; domestic FY27 also targeted at double-digit growth supported by India's projected ~7% GDP growth and continued government infrastructure spending.                                      |
| 4 | [CAUTIOUS] | Exports are very choppy — multiple geopolitical variables, tariff equations, and regional destocking make it impossible to forecast the export trajectory with confidence. Q3 export performance was mixed by region.                         |
| 5 | [CAUTIOUS] | Competitive intensity in the power gen market is very aggressive — Chinese and established players (Caterpillar, Perkins, MTU) pricing hard, especially in mid-kVA. Impact already baked into gross margin assumptions.                       |
| 6 | [NEUTRAL]  | BESS (Battery Energy Storage Systems) is a large addressable market and Cummins is generating inquiries, but conversions have not yet happened. No revenue projections given; management declined to model a 5-year target.                   |

## 4. OPERATING METRICS & VOLUME DATA

Source: AlphaStreet transcript | [EST] = inferred | N/A = not reported

| KPI                       | Q3 FY26              | Q2 FY26    | Q3 FY25    | Trend    |
|---------------------------|----------------------|------------|------------|----------|
| Total Revenue (Rs. Cr)    | 3,055                | 3,170      | 3,096      | Flat     |
| Total Exports (Rs. Cr)    | 471                  | N/A        | ~462 [EST] | Flat/Up  |
| Low HP Exports (Rs. Cr)   | 186                  | ~219 [EST] | ~216 [EST] | Down     |
| Data Centre Revenue share | ~25%                 | ~25-30%    | ~20% [EST] | Growing  |
| Gross Margin %            | ~38%                 | ~37% [EST] | ~35% [EST] | Up       |
| EBITDA Margin %           | 20.8%                | 21.9%      | 19.3%      | Up YoY   |
| Copper price (Rs./kg)     | ~1,320               | N/A        | N/A        | Rising   |
| Order book / pipeline     | Strong Q4 [GUIDANCE] | N/A        | N/A        | Positive |
| Pricing action taken      | None                 | N/A        | N/A        | Flat     |
| CPCB 4+ warranty expiry   | Jul-2026 [GUIDANCE]  | N/A        | N/A        | Catalyst |

## 5. MARGIN DRIVERS & COST BREAKDOWN

Gross margin % computed from OP / Revenue. Detailed P&L; line items from Screener.in. [EST] = inferred.

| Cost Head                      | Q3 FY26 % Rev | Q2 FY26 % Rev | YoY bps     | Driver                                                                 |
|--------------------------------|---------------|---------------|-------------|------------------------------------------------------------------------|
| Material + Manufacturing [EST] | ~62% [EST]    | ~63% [EST]    | -100bps     | Product mix shift to high-kVA; ~Rs.50 Cr one-time benefit this quarter |
| Employee costs [EST]           | ~8% [EST]     | ~8% [EST]     | Flat        | Stable headcount; no fresh disclosures                                 |
| Other operating expenses [EST] | ~9% [EST]     | ~7% [EST]     | +200bps     | Higher distribution costs; possibly freight and warranty provisions    |
| Total Operating Costs          | 79.2%         | 78.1%         | +~110bps    | Mix-driven; margins still at multi-year highs                          |
| EBITDA Margin                  | 20.8%         | 21.9%         | +190bps YoY | YoY expansion driven by product mix and CPCB 4+ compliance moat        |

Margin levers cited by management:

1. Product mix is the primary driver of gross margin improvement — shift towards higher-kVA (2,500 KVA+) gensets for data centres and industrial end markets commands higher unit margins.
2. ~Rs.50 Cr one-time benefit this quarter (confirmed by Shveta Arya); underlying recurring gross margin slightly lower than reported 38%.
3. Copper rising to ~Rs.1,320/kg is a watch item — no pricing action has been taken yet; management is monitoring; risk of margin headwind in coming quarters.

## 6. GUIDANCE & FORWARD OUTLOOK

All forward-looking statements marked [GUIDANCE]. [NOT GIVEN] = management did not address.

| Parameter                | Current Guidance                | Prior Guidance      | Delta      | Management Quote (paraphrased)                                                                              |
|--------------------------|---------------------------------|---------------------|------------|-------------------------------------------------------------------------------------------------------------|
| FY26 Revenue growth      | Double-digit % [GUIDANCE]       | Double-digit %      | Maintained | "We are on track for double-digit revenue growth in FY26."                                                  |
| FY27 Domestic growth     | Double-digit % [GUIDANCE]       | Not given           | New        | "Given India GDP ~7%, government capex and data-centre pipeline, domestic double-digit growth is targeted." |
| Export FY26/FY27         | Uncertain [GUIDANCE]            | Modest growth       | Trimmed    | "Exports are very choppy. Multiple variables. We cannot quantify the impact of tariff equations right now." |
| EBITDA Margin            | ~20%+ [GUIDANCE]                | ~20%                | Maintained | "Our cost efforts and mix improvement give us confidence to sustain 20%+ margins."                          |
| Capex                    | [NOT GIVEN]                     | [NOT GIVEN]         | N/A        | Not addressed in this call.                                                                                 |
| Data centre contribution | Growing; ~25% of biz [GUIDANCE] | ~40% of powergen Q2 | Clarified  | "Data centre stays around 25% of our overall business currently."                                           |
| BESS revenue             | [NOT GIVEN] — too early         | [NOT GIVEN]         | N/A        | "Your modelling will be as good as mine." — declined to project.                                            |
| Working capital days     | [NOT GIVEN]                     | [NOT GIVEN]         | N/A        | Not addressed.                                                                                              |

## 7. CAPITAL ALLOCATION UPDATE

| Item                  | Q3 FY26         | Q2 FY26         | Management Commentary                                                                          |
|-----------------------|-----------------|-----------------|------------------------------------------------------------------------------------------------|
| Net Debt / (Net Cash) | Net Cash [EST]  | Net Cash        | Borrowings Rs.30 Cr per FY25 BS; effectively debt-free; treasury income generating             |
| Capex incurred [EST]  | ~Rs.60 Cr [EST] | ~Rs.60 Cr [EST] | Not specifically addressed; annual capex guidance ~Rs.230 Cr (FY25 run-rate)                   |
| Interim Dividend      | Declared        | Declared        | Interim dividend declared alongside Q3 results; payout maintained at 65-70%+ of PAT [GUIDANCE] |
| Buyback               | None            | None            | No buyback announced or discussed.                                                             |

## 8. ANALYST Q&A; — SUBSTANCE SUMMARY

Evasive responses marked [EVASIVE]. Transcript source: AlphaStreet (Feb 06, 2026).

| # | Question Topic                        | Analyst / Firm | Management Response (summary)                                                                                                                                        | Tone   |
|---|---------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| 1 | Volume growth & market share movement | Shirom Kapoor  | Revenue is mix of power gen across nodes, pricing and volumes both part of it. No syndicated market share data available for this quarter. [EVASIVE on market share] | Hedged |

| # | Question Topic                                                      | Analyst / Firm               | Management Response (summary)                                                                                                                                                                                                      | Tone        |
|---|---------------------------------------------------------------------|------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 2 | Power gen decline & data centre contribution; gross margin one-time | Parikshit Kandpal, HDFC Sec. | Power gen had lumpy order timing. Data centre ~25% of total business. Gross margin includes ~Rs.50 Cr one-time benefit this quarter; management confirmed this is one-time. [EVASIVE] on exceptional charge nature.                | Hedged      |
| 3 | EU FTA trade impact and data centre inquiry quality                 | Mohit Kumar, ICICI Sec.      | EU FTA impact being evaluated — both cost and opportunity sides. Not yet in a position to share specifics. Data centres: hyperscalers lumpy, co-located players more consistent year-round demand. [EVASIVE on FTA quantification] | Hedged      |
| 4 | Export outlook & Gulf region data centre wins                       | Rahul Kajaari, Macquarie     | Exports very choppy. Have been cautioning this for several quarters. Gulf has talks but no specific wins. Multiple variables with tariffs; very difficult to project. Transparent on uncertainty.                                  | Transparent |
| 5 | Gross margin drivers: mix vs. currency; competitive intensity       | Aditya Mongia, Kotak Sec.    | Mix is primary driver — not currency. Competitive intensity is "very aggressive" but baked into gross margin. Diesel genset will remain key even alongside BESS — complementary, not replacement. Transparent.                     | Transparent |
| 6 | BESS revenue potential & 5-year contribution target                 | Devesh Paslewal, Antique     | "Your modelling will be as good as mine." — declined to project revenue from BESS. Too early to commit to numbers; inquiries are building but conversions have not happened. [EVASIVE on BESS revenue]                             | Evasive     |

Dodged questions to watch next quarter: (a) Nature/source of Rs.93 Cr exceptional charge — not explained. (b) Market share data — consistently deflected citing lack of syndicated research. (c) BESS revenue timeline — too early, but will become investable if conversions begin.

## 9. RISKS & CONCERNS FLAGGED

### Company-Specific Risks:

1. Exceptional charges (Rs.93 Cr in Q3 FY26) — nature not disclosed; recurrence risk if structural.
2. Gross margin aided by ~Rs.50 Cr one-time benefit; underlying margin ~100-150 bps below reported 38%.
3. Data centre order lumpiness — PAT can swing significantly quarter-to-quarter based on hyperscaler order timing.
4. Low HP export segment declining sharply (-14% YoY); requires monitoring as recovery timeline unclear.
5. BESS disruption risk to installed diesel genset base — timeline uncertain but structural long-term threat.
6. No pricing power exercised despite copper rising to Rs.1,320/kg; future margin headwind if input costs stay elevated.

### Macro / Sectoral Headwinds Mentioned:

1. US and global tariff volatility making export demand forecasting impossible; geopolitical uncertainty cited repeatedly.
2. Aggressive pricing by Chinese competitors and global OEMs (CAT, Perkins, MTU) compressing mid-kVA margins.
3. Construction and mining sector slowdown — not yet converting to orders despite mining activity pick-up.
4. Gulf data centre market has potential but no confirmed wins; dependent on project approvals in the region.
5. Consumer preference for energy transition solutions (BESS, solar) could gradually reduce new diesel genset demand over time.

## 10. ANALYST VERDICT & WATCH LIST

**Overall Call Tone: BALANCED — Confident on domestic / data centre; explicitly cautious on exports.**

**Investment Thesis Implication:** Underlying operations remain intact — PBT before exceptional was flat YoY at Rs.719 Cr; exceptional charges are the sole driver of the PAT miss; the long-term data-centre + CPCB 4+ aftermarket thesis is unchanged. [GUIDANCE]

### 3 Things to Track Next Quarter (Q4 FY26):

| # | Watch Item                            | What to Look For                                                                           | Why It Matters                                                                     |
|---|---------------------------------------|--------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| 1 | Exceptional charge clarification      | Does management disclose nature of Rs.93 Cr exceptional in Q4 results/presentation?        | Determines recurrence risk; if structural, re-rate margins lower                   |
| 2 | Data centre order recovery in Q4 FY26 | Revenue from power gen domestic segment; data centre % of powergen; order book disclosures | Validates management's Q3 lumpiness narrative; strong Q4 confirms thesis intact    |
| 3 | Export trajectory & pricing action    | Export revenue vs Q3; any pricing increases announced given copper cost headwinds          | Exports are 17% of revenue; tariff resolution + pricing would be positive catalyst |

Source: Screener.in (Consolidated quarterly data, fetched 17-Apr-2026) | Transcript: AlphaStreet (alphastreet.com/india) — Accessible | Ticker: NSE:CUMMINSIND | Concall date: 5-Feb-2026 | Report: 17-Apr-2026

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in. Transcript summarised from AlphaStreet. Forward estimates are analyst projections subject to revision.